

Intel Corporation
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News Release

Intel Reports First-Quarter 2024 Financial Results

NEWS SUMMARY

- First-quarter revenue of \$12.7 billion, up 9% year over year (YoY).
- First-quarter GAAP earnings (loss) per share (EPS) attributable to Intel was \$(0.09); non-GAAP EPS attributable to Intel was \$0.18.
- Forecasting second-quarter 2024 revenue of \$12.5 billion to \$13.5 billion; expecting second-quarter EPS of \$(0.05); non-GAAP EPS of \$0.10.

SANTA CLARA, Calif., April 25, 2024 – Intel Corporation today reported first-quarter 2024 financial results.

“We are making steady progress against our priorities and delivered a solid quarter,” said Pat Gelsinger, Intel CEO. “Strong innovation across our client, edge and data center portfolios drove double-digit revenue growth in Intel Products. With Intel 3 in high-volume production, leading-edge semiconductors are being manufactured in the U.S. for the first time in almost a decade and we are on track to regain process leadership next year as we grow Intel Foundry. We are confident in our plans to drive sequential growth throughout the year as we accelerate our AI solutions and maintain our relentless focus on execution, operational discipline and shareholder value creation in a dynamic market.”

“Q1 revenue was in line with our expectations and we delivered non-GAAP EPS above our guidance, driven by better-than-expected gross margins and strong expense discipline,” said David Zinsner, Intel CFO. “Our new foundry operating model, which provides greater transparency and accountability, is already driving better decision-making across the business. Looking ahead, we expect to deliver year-over-year revenue and non-GAAP EPS growth in fiscal year 2024, including roughly 200 basis points of full-year gross margin improvement.”

Q1 2024 Financial Highlights

	GAAP			Non-GAAP		
	Q1 2024	Q1 2023	vs. Q1 2023	Q1 2024	Q1 2023	vs. Q1 2023
Revenue (\$B)	\$12.7	\$11.7	up 9%			
Gross Margin	41.0%	34.2%	up 6.8 ppts	45.1%	38.4%	up 6.7 ppts
R&D and MG&A (\$B)	\$5.9	\$5.4	up 10%	\$5.0	\$4.8	up 5%
Operating Margin	(8.4)%	(12.5)%	up 4.1 ppts	5.7%	(2.5)%	up 8.2 ppts
Tax Rate	39.2%	(139.0)%	n/m*	13.0%	13.0%	—
Net Income (loss) Attributable to Intel (\$B)	\$(0.4)	\$(2.8)	up 86%	\$0.8	\$(0.2)	n/m*
Earnings (loss) Per Share Attributable to Intel	\$(0.09)	\$(0.66)	up 86%	\$0.18	\$(0.04)	n/m*

In the first quarter, the company used \$1.2 billion in cash from operations and paid dividends of \$0.5 billion.

*Not meaningful

Business Unit Summary

Intel previously announced the implementation of an internal foundry operating model, which took effect in the first quarter of 2024 and created a foundry relationship between its Intel Products business (collectively CCG, DCAI, and NEX) and its Intel Foundry business (including Foundry Technology Development, Foundry Manufacturing and Supply Chain, and Foundry Services (formerly IFS)). The foundry operating model is a key component of the company's strategy and is designed to reshape operational dynamics and drive greater transparency, accountability, and focus on costs and efficiency. The company also previously announced its intent to operate Altera®, an Intel Company (previously Intel's Programmable Solutions Group), as a standalone business beginning in the first quarter of 2024. Altera was previously included in DCAI's segment results. As a result of these changes, the company modified its segment reporting in the first quarter of 2024 to align to this new operating model. All prior-period segment data has been retrospectively adjusted to reflect the way the company internally receives information and manages and monitors its operating segment performance starting in fiscal year 2024. There are no changes to Intel's consolidated financial statements for any prior periods.

Business Unit Revenue and Trends	Q1 2024	vs. Q1 2023
Intel Products:		
Client Computing Group (CCG)	\$7.5 billion	up 31%
Data Center and AI (DCAI)	\$3.0 billion	up 5%
Network and Edge (NEX)	\$1.4 billion	down 8%
Total Intel Products revenue	\$11.9 billion	up 17%
Intel Foundry	\$4.4 billion	down 10%
All other:		
Altera	\$342 million	down 58%
Mobileye	\$239 million	down 48%
Other	\$194 million	up 17%
Total all other revenue	\$775 million	down 46%
Intersegment eliminations	\$(4.4) billion	
Total net revenue	\$12.7 billion	up 9%

Intel Products Highlights

- **CCG:** Intel continues to advance its mission to bring AI everywhere. As of the end of the first quarter, more than 5 million AI PCs have shipped since the December 2023 launch of Intel® Core™ Ultra processors, supported by more than 100 software vendors. Intel expects to exceed its prior forecast of 40 million AI PCs by the end of 2024.
- **DCAI:** At Intel Vision, the company introduced the Intel® Gaudi® 3 AI accelerator, projected to deliver on-average 50% faster inference and 40% greater inference power efficiency than Nvidia H100¹ on leading generative AI (GenAI) models. Intel also announced new Intel Gaudi accelerator customers and partners, including NAVER, Dell Technologies, Bosch, Supermicro and many others. Additionally, the next-generation E-core Intel® Xeon®, code-named Sierra Forest, achieved product release this week, and Intel expects Granite Rapids to be released in the third quarter.
- **NEX:** At Mobile World Congress in Barcelona, Intel introduced the new Intel Edge Platform – a modular, open software platform enabling enterprises to develop, deploy, and manage edge and AI applications at scale. The Intel Edge Platform has broad ecosystem support from Amazon Web Services, Lenovo, Red Hat, SAP and Wipro. Intel also announced the Open Platform for Enterprise AI, which aims to accelerate secure, cost-effective GenAI deployments for businesses by driving interoperability across a diverse and heterogeneous ecosystem, starting with retrieval-augmented generation (RAG).

¹ NV H100 comparison based on NVIDIA-published data as of March 28, 2024. Reported numbers are per GPU. Vs Intel® Gaudi® 3 projections for LLAMA2-7B, LLAMA2-70B & Falcon 180B. Power efficiency for both Nvidia and Gaudi 3 based on internal estimates. Results may vary.